

PM SVANidhi Cashback Incentive
Operational Guidelines

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1. Background

The PM Street Vendor's AtmaNirbhar Nidhi (PM SVANidhi) Scheme, aims to promote self-reliance and financial inclusion by providing working capital term loans to street vendors (SVs).

Recognizing the need to shift street vendors from cash-based operations to digital payments, integrate them into formal financial systems, and improve their access to future credit, a structured cashback incentive has been introduced to encourage and reward digital transactions.

This facility aids in onboarding of street vendors onto the digital ecosystem and ensuring the sustained use of digital payment platforms. It aligns with the vision of Digital India, thereby bridging the digital divide.

2. Objectives

- i. **To encourage digital adoption** among PM SVANidhi beneficiaries by offering cashback incentives.
- ii. **To drive UPI-enabled purchases from wholesalers**, encouraging integration of the wholesalers into digital payments infrastructure.
- iii. **To foster vendor creditworthiness** by creating verifiable transaction histories that may support future formal lending.

3. Monthly Cashback for Regular Digital Transactions

- i. A cashback of ₹1 will be provided for each digital transaction.
- ii. Each beneficiary can receive a maximum cashback of ₹100 per month.
- iii. Transactions include both inward (receipts) and outward (payments) made through UPI platforms, such as QR codes, mobile numbers, UPI-enabled debit/ credit cards etc.
- iv. The cashback incentive will be applicable for a period of up to 12 months for each tranche of the loan, commencing from the later of:
 - The date of disbursement of the latest tranche; **or**
 - The date of digital activation.

The street vendor shall be eligible to receive the cashback incentive for the duration till the next tranche is disbursed. In the event that the vendor avails a subsequent tranche of the loan, a fresh 12 month incentive period will commence for that tranche, irrespective of whether the incentive period for the previous tranche has been completed.

4. Quarterly Cashback for Digital Wholesale Purchases

- i. Cashback will be calculated at ₹20 per qualifying transaction for up to five transactions per quarter i.e. maximum of ₹100 per calendar quarter.
- ii. Eligible transactions include UPI-based Person-to-Merchant (P2M or P2PM) purchases of ₹2,000 or more.
- iii. The incentive is available for a maximum of one year per beneficiary.
- iv. NPCI will provide cashback responses for wholesale transactions on a T+2 basis and may further reduce processing time in the future.

5. Eligibility for Coverage

The cashback incentive will be available to all street vendors:

- i. Who have availed loan under PM SVANidhi Scheme.
- ii. Who are actively conducting UPI based digital transactions.

6. Operational Modalities

- i. **Request File Preparation:** The request file containing beneficiary-wise details would be generated through the PMS portal and securely transmitted it to NPCI via SFTP. This will be done monthly for regular cashback payments and daily for wholesale transaction incentives.
- ii. **Response from NPCI:** NPCI will verify the request and provide a response file containing transaction counts, amounts, and other relevant details. Eligible incentives will be calculated by NPCI only for regular cashback payments, which are processed monthly. Wholesale incentives, however, are settled on a T+2 basis.

- iii. **Data Validation:** The NPCI response data would be validated through the PMS portal for accuracy and compliance, and the team would conduct periodic quality checks.
- iv. **Payment File Generation:** Upon validation, digitally signed payment files will be generated by SIDBI, with each file containing a maximum of 30,000 records.
- v. **Processing by Indian Bank:** The signed files will be placed in the SFTP of Indian Bank for processing and the payment file will be transmitted to the NACH platform of NPCI for disbursement of cashback to vendor accounts. After payment release, Indian Bank will provide a response file back to the PMS Portal and will send SMS notifications to vendors confirming the credit of cashback.
- vi. **Reconciliation:** PMS Portal will process response files received from Indian Bank and maintain comprehensive transaction records for audit and reconciliation purposes.
- vii. **Secure File Transfers:** All file exchanges between PMS Portal, NPCI, and the Indian Bank will occur via secure SFTP.
- viii. **Administrative Authority:** MoHUA will be the final authority for all digital cashback incentive-related matters and its decision will be final and binding.

Summary Table

Aspect	Wholesale Cashback	Regular Cashback
Cashback Amount	₹20 per eligible transaction	₹1 per digital transaction
Max Cashback Limit	₹100 per quarter	₹100 per month
Eligibility Criteria	Scheme beneficiary, transaction $\geq$ ₹2000	Scheme beneficiary
Transaction Type	P2M purchase transactions	Inward/outward UPI transactions
Validation Frequency	Daily validations	Monthly validations
Data Exchange Method	Secure SFTP transfers	Secure SFTP transfers
Disbursement Timeline	Within T+2 days	Monthly cycle
Security Measures	File transfer through SFTP	File transfer through SFTP
Notification	SMS on cashback credit	SMS notifications on credit
Cashback Duration	Maximum of one year per beneficiary	12 months per loan tranche, from the later of, the loan disbursement date or the date of digital activation. The vendor remains eligible until the next tranche is disbursed, after which a new 12-month incentive period begins for that tranche, regardless of the previous period's status.